The Sino-Maldives conundrum development or debt trap?

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Abstract.

China being the second largest economy and an aspiring hegemon it is robustly spending on investments all over the world especially the developing countries with geopolitical strategic value. Their grand dream of influencing the world order is materialized by its ambitious Belt and Road Initiative. The BRI does not only focuses on traditional silk route but also surfs into the deep waters of the Indian Ocean. Maldives has become one such crucial partner in maritime endeavors of China. Maldives being a far from mainland Archipelago with facing the worst crisis of climate change, it is trying to reach out to big powers for its development. Here is where China and Maldives comes together. Both the countries are now in elevated levels of strategic cooperation. Beginning from the China-Maldives Friendship Bridge a series of Chinese investments is flooding Maldivian economy across all sectors. The clarity and purpose regarding these investments, projects undertaken by Chinese companies whether are they loans or development aid packages the information has not come out from the archipelago. The strategic calculation and motives of China behind these project is largely questionable. This paper will try to track the state of Chinese investments in Maldives, their key areas of cooperation, existing and upcoming projects by Chinese companies in Maldives and the strategic dynamics of both these countries behind these investments.

Keywords:

China, Belt and Road Initiative, Maldives, Investment Projects in Maldives.

INTRODUCTION

A tiny archipelago in the middle of the Indian Ocean is now in the limelight of Indian Ocean geopolitics. Maldives a coral dense island group predominantly dependent on tourism has got a complete change over in its external relations with countries in recent decades. Became independent I 1965, Maldives mostly depended on mainland countries for its survival, but now wind flows in Maldivian direction, where it has got more prominence and importance. Growing geopolitical developments in the Indian Ocean has given a strategic advantage for Maldives. Maldives is maneuvering its foreign policy predominantly focusing on China and India to keep its interest high in the region.

With given importance and value of Maldives in current political landscape, China is eyeing on Maldives to ensure its dominance in the region. China already has established deep economic relations with South Asian partners like Sri Lanka, Pakistan, Myanmar, now the focus shift is towards Maldives. Maldives is one of the critical partner in China`s maritime version of Belt and Road initiative, and Maldives also sees BRI as a developmental assistance program, crucial for its growth. After Xi became the president of China, relation between China and Maldives is constant upshift.

One of the important aspect of China engaging with smaller powers is its economic tool. With its catchy 17 Trillion USD economy China is able to impress smaller nations that, China will be a reliable partner for its growth. With is robust investment plans, developmental aid packages, China ensures its dominance in the country`s day to day policy decisions. The same strategy is now being implemented on Maldives.

Since 2014, Chinese investment in Maldives has gone up multifold. Investments are done predominantly done in infrastructure, capital expenditure, roadways, airport, and tourism sectors. There is a lack of clarity in investment modes, while most projects are funded by banks which are state owned and construction is also done by the Chinese companies which are state owned. What China is aiming to gain out of these investments are yet be found. China is by far the biggest external lender of Maldives. Maldives owes about 25% of its external debt to China and Maldives external debt is in constant rise. President of Maldives Muizzu`s visit to China in early January 2024, has attracted around 20 MoU`s signed between both the countries. Most of them are investment plans that China is willing to do in Maldives. Scholars argue that this is a classic debt trap strategy of China.

Once all the investments and its value is unearthed, the mode of funding and re payment is studied, dots can be connected then the actual purpose of Chinese interest in Maldives behind all these investments can be found.

Sino-Maldives economic relation till 2014

Until 2014 China was not even in top 5 trading partner of Maldives. There were no signs on Chinese projects or companies in the Maldivian land. India was the important partner for Maldives in both economic as well as political terms. There was no delegate or leadership level engagement happening between China and Maldives. The tourist footfall of Chinese is very less compared to the Indian tourist in Maldives. Strategic calculation between the countries was not given much importance. Close relations between India and Maldives become harder for the Chinese to enter into the Maldivian economy.

The trend begun to change only after 2008. It was the year when China turned towards Maldives. When China begun to engage Indian Ocean countries with strategic importance Maldives became a key factor in their strategies. Notably President of Maldives Gayoom is an important person to begin the engagement with China. China also validated Maldives geo strategic position near important sea lanes. Change in political developments of Maldives played a crucial role. Though Gayoom was open to China, Ibrahim Solih had a India first approach, though China started giving more importance to Maldives it took almost a decade for China to understand the political dynamics and strategic character of Maldives. China found out infrastructure and development is a key are where Maldives is lacking and started focusing on the relations based on projects and investments. In 2011, when Maldives moved from least developed nation category to developing nation it provided China an opportunity to engage in terms of development assistance partner and investment destination. However until 2014 the China India factor of Maldives was turbulent with change of perspectives and opinions. However after 2014 when BRI was unveiled and Gayoom showing interest in Joining BRI the China-Maldives relations took a turning point with new historic developments happening.

Sino-Maldives relations since 2014.

2014 is the landmark year in Sino-Maldives relations because of two important reasons. First reason being Xi Jinping coming to power in China, who initiated a grand vision to remove the scars of century of humiliation to a China centric world order. Next reason is floating the ambitious Belt and Road Initiative. The Belt and Road initiative is acting as a lynchpin of

China-Maldives realtions especially in terms of investments and projects. Every investments that comes to Maldives from China comes under the banner of BRI. Since 2014, the economi realtion between the countries is in constant rise.

On September 14th 2014, The Chinese president Xi Jinping had hist first state visit to Maldives, which was the first leadership level visit from both the countries since the establishment of diplomatic relations. During the visit Maldivian president Gayoom put forward multiple development projects that Maldives is willing to get from China. The Chinese side also accepted to fund those projects. Most significant development was Chinese agreeing to build Maldives first ever inter island bridge connecting the capital city Male to the international airport of Maldives in neighboring island. The project was named as China-Maldives friendship bridge the first ever major Chinese investment in Maldives.

The China Maldives friendship bridge is a 1.8km long bridge built at a cost of 210 million USD. The project construction begun in February 2016 and handed over to Maldives in 2018. The then president of Maldives Gayoom takes credit for this project for persuading China to fund it. The construction was done by China harboring limited which is a state owned company. Out of 210 million USD, 126 million USD was funded by the Chinese government as a grant while 68 million USD was lent by Export Import Bank of China (EXIM bank of China). EXIM bank is state owned banks which majorly lends loans for international projects that's being undertaken by China. The EXIM bank is not a part of any financial institution of grant mechanism like ADB. The 68 million USD loan agreement is signed for a period of 20 years of maturation with 2% annual interest. Remaining details of the funds that came from Chinese developmental grant was not detailed by Chinese government.

Economic Relations

Total value of imports from China to Maldives was less than 25 million USD in 2010. By 2015 the imports exponentially raised to whooping 200 million USD and by 2018 it reached around 500 million USD. But exports to China from Maldives still remains less than 50 million USD. This makes almost 450 million USD trade deficit between China and Maldives. This trade deficit will have serious long term impacts in Maldives economy.

Signing of FTA between China and Maldives is a game changer in their bilateral trade relations. Maldives became the second South Asian country to enter into FTA with China after Pakistan. According to the FTA, both the parties has agreed for a zero tariff arrangement for nearly 95% of the total goods. Also it paved for the most favorable nation treatment, by

which the Chinese companies can easily invest in Maldives without much restrictions and vice versa. Since, the value of goods exported from China to Maldives is much higher than what Maldives exports the FTA agreement became beneficial for the Chinese. Fisheries is the only sector where predominant exports from Maldives goes to China. But Maldives has got very limited technological and logistical support to advance their fishing industry. However since the FTA is binding with the development assistance and investments, Maldives has to accept the terms of FTA. Due to FTA, cheap Chinese goods can flood the Maldivian market which will challenge the local production. Most of the workforce of Maldives is unskilled and predominantly dependent on tourism. FTA has nothing to offer in skill development of employment of Maldivian people which makes the agreement one sided. Construction and Real estate is where more Chinese companies enter into the market which will further divide the trade deficit.

Muizzu and Chinese investments

Maldivian internal politics also contributes to the growing Chinese investments in Maldives. Former president Mohamed Gayoom had a pro China approach to bring in more investments and considered BRI as beneficial to Maldives. Post Gayoom Abdhulla Yamin had a pro China vision but next to him, Ibrahim Solih had a pro India approach. Solih was also skeptic about the intentions of BRI.

In 2023, Mohamed Muizzu won the democratic elections of Maldives in a close margin with Ibrahim Solih. Dr. Mohamed Muizzu even before his victory had a pro China vision. During the campaigns he promised he would bring more investments to Maldives if he gets elected. He also vocally had India out campaign during his rallies. After becoming the president he ordered to the Indian troops stationed in Maldives to operate the Dornier aircraft.

The pro China approach of Muizzu became the catalyst of increasing China Maldives relations. In January 2024, Muizzu had his first state visit to China. Muizzu also praised BRI that it is most beneficial for his country and it delivered most significant infrastructure projects ever witnessed in Maldivian history.

Muizzu also asserted that, the assistance from China was selfless in nature and plans to increase the relations further. During his state visit to Beijing, he met Xi and both leaders agreed to elevate their relations to strategic comprehensive cooperative partnership. Also both leaders signed 20 important Memorandum of understandings. Most of the MoU`s are focused

in bringing in new investments to Maldives. However the catchy investments increasing the looming foreign debt of Maldives.

Important projects by China in Maldives

Since 2014, China is involved in various infrastructure projects in Maldives. During the visit some of the MoU`s include infrastructure projects that will be funded by Chinese banks and built by Chinese construction companies. The MoU are Social Housing project in Hulule island, expansion of Venalu international airport, fisheries processing factory etc.

Apart from the Friendship bridge one of the most important Chinese funded project was the Hiya housing project of Hulule islands. This project was launched by president Gayoom. Hiya housing project is a social housing project to bring down the population stress of capital Male. Totally 7000 housing units was built as apartments. The project comprise of 16 towers with 25 floors in each tower. Construction was done, state construction engineering company which is a state owned company of China. The project was funded by the Export Import Bank of China. Granted loan amount was 437 million USD, with 6 percent interest rate and 15 years of maturation period. This housing project is one of the most costliest project undertaken by China in the island. In January 2024, another MoU was signed to build 15,000 more housing units in the same social housing style. 1150 hectares of land will be used in Fushigidaru islands. The same company which built the Hiya housing project will also build this new houses. Though the opposition was critical about the debt structuring and potentially leading to debt trap, muizzu`s government is focused in implementing the project.

Expansion of Venalu international Airport

Ibrahim Nasir international airport or Male-Velana international airport is the only international airport and cardinal way of connectivity for Maldives. Since, Maldives is distant from the mainland and predominantly dependent on tourism, this airport plays a crucial role in its economy. Agreement to expand the Venalu international airport was singed in 2015. The project wort is estimated to be 419 million dollar USD. The funding for expansion also said to come from the Export Import Bank of China. Amount is to be lent at a 3% interest for a period of 20 years. Beijing urban construction company is taking over the expansion project. Preferential trade agreement was signed in 2015,and from 2016 the expansion process begun. The expansion process is still under development. On 4th of January 2024, president Dr. Mohamed Muizzu inaugurated a newly built terminal. At the end of the expansion the airport

is expected to handle 25 million passengers annually. In his recent visit the expansion project is further signed to increase in a new better scale.

Male Vilamale road development project and fisheries processing plant.

During the visit, one of the signed MoU includes the agreement to facilitate the redevelopment of roads and sewers in Male Vilamale islands. The project is to be implemented in the cost of nearly 100 million USD. The road redevelopment project is to be done for a stretch of 15.6 kilometers.

Export of fisheries and by products is the major source of income for Maldives. Under the MoU new fisheries processing factory will be built in Maldives by China. On 15th April 2024 a Chinese state owned company named Dohgband Electric corporation signed the processing project. Cost estimate of this project is 225 million USD. The factory will have 1500 tones of cold storage facility along with 100 tones fish processing plant. This project is to be undertaken in 3 different plants namely Dr. Maadheli cold storage, Lh. Felivaru Fish Factory and G.Dh.Fiyoaree cold storage. Along with 1500 tones of Cold Storage 3000 tones capacity cold storage will also be built in Dr. Maadheli cold storage.

Maldivian economy is completely relied upon its tourism sector. On his visit to Beijing the Maldivian president requested the Chinese people to visit Maldives for holidays. According to Reuters Chinese tourists accounts for 19% of total tourist to Maldives. Also both the parties are working on visa relaxation process to increase the number of Chinese tourist in Maldives. The China Communications Construction company also invested in resorts and hotels in Maldives. In 2019, the CCCC built a 420 roomed Italian styled 4 star resort in Maldives. Adding to it in IRUFEN islands the same company has invested about 146 millions USD, to build 496 roomed island resort. More Chinese companies are interested in investing in Maldivian Tourism sector. Also recent agreement also paved way to increase more investments in tourism sector of Maldives.

Apart from the Investments projects, other MoU`s were also signed between the ministries of tourism, ministries of Climate change, ministries of Agriculture and ministries of economy. These MoUs are expected to bring in even more investments by Chinese companies into Maldives. Also the grant assistance agreement between both the parties under which the Maldivian government is expected to receive from the Chinese government.

Invest Maldives

In order to attract more investments in Maldives, its President launched a new initiative called Invest Maldives. Under this Initiative Foreign companies can invest in 10 important sectors of Maldivian economy. In his Beijing visit on January 9th 2024, President Muizzu held a program in the port city of Fuzhou China. In that program Muizzu held talks with local companies and investors to invest in Maldives. This talks has brought in many Chinese companies invest espeically in tourism sector which has got more potential in Maldives in future.

Defence agreement

In the history of Sino-Maldives relations both the countries have signed a defence agreement for the first time ever in January 2024. Chief of Army of both the countries had a special meeting and signed an agreement. President Muizzu also met the Chief of the Chinese PLA. Military assistance agreement has been signed between both the countries under which non lethal weapons will be sent to Maldives and Maldivian officers will be trained by Chinese officers. Like Hambantota port which has strategic importance, Maldives also has strategic importance in terms of airpower. Male is the only airstrip that can be used by China between Sri Lanka and Djibouti meanwhile US has got Diego Garcia and India has Lakshadweep. So China might be strategically focusing Maldives in terms of developing its airport and use it for its strategic purpose. This decision to sign Military agreement is contradictory to Muizzu`s explanation for asking the Indian troops to leave the Maldives. He says the decision is taken to uphold the external sovereignty but activities with China resembles straight opposite.

Debt Trap and EXIM Bank of China.

Former president Mohamed Nasheer publicly criticized Chinese involvement in Maldives as an attempt for a debt trapping of the country. Though the Maldives capital expenditure and developments projects are in constant rise the external debt of the resource crunch country is also constantly increasing.

The foreign debt of Maldives has crossed more than 4 billion USD says the IMF. China is by far the biggest external lender of Maldives since 2014. China alone contributes for 25% of total external debt of Maldives, which nearly 1.37 Billion USD according to World Bank Report. World Bank said Male spent $162.3 million on interest payments between January to August 2023, the World Bank report said, up 15% from a year earlier and "far exceeding" the annual average between 2014-2019 of $85 million. It also cautioned "build-up of sovereign

exposure" had taken place during the pandemic and that there was a "lack of domestic investment opportunities," despite Muizzu's appeal for fresh Chinese funding.

On May 13th 2024, IMF released a report on external debt of Maldives. The report said Maldives is in high risk category and debt distress due to its 4.3 Billion USD debt which accounts for 118% of Gross GDP. IMF also said the debt structuring and interest rate are un sustainable. It urged the Maldivian government to restructure its monetary and fiscal policy to tackle the looming debt. Most of the Loans from China to Maldives came from the Export Import Bank of China. The EXIM bank alone cost for nearly 60% of total Chinese debt to Maldives. The EXIM bank is also a state owned bank where instead of giving it as developmental grant the Chinese government does all the investments as recurring debts.

IMF predicts that if this trend continues, Maldives would reach external re financing pressure peak by 2026. These un sustainable debt will lead to a big blow in the crunching foreign reserves of Maldives.

China has advantaged most from all these funding, Since both the lender and constructor is state owned companies the capital does not goes out rather comes back to the company. These investments does not benefit any construction companies of Maldives also not generate much long term employments. Interest rates of these loans ranges form 2% to 6% with maturation period of 5 years to 15 years. This loan structure constantly takes a sizeable value of foreign reserve as interest from its economy which will lead to adversarial effects in Maldivian Economy.

Conclusion.

Looking at all these investments that China does in Maldives a basic question arises. What profits or benefits that China is planning to get out of this small resources limited poor island nation. Why would it invest so much despite having a strong economy and other favourable position. Well the answer relies in simple geo politics. China wants a command in Indian Ocean and it is not possible to have that command without the sympathy these Island nations like Sri Lanka and Maldives. China is not geographically present in the region, so it has to camouflage into existing countries to get dominance.

Maldives lacks money, it wants to develop, revive its tourism and give its best for its people. What Maldives can afford in terms of geopolitics and strategic is less. Though it has a strategic location its comprehensive national power is not sufficient to uphold its strategic

autonomy. So Maldives readily accepts any economical assistance given by China leveraging its strategic space for China. Some scholars argue this Chins-Maldives relation is just Hambantota 2.0 with forcing the Maldives in debt trap. Even if Maldives wants to resist back its too late. Failure of international financial institutions to protect a smaller country from bigger power from debt trap is also leading to constant fall of wickets in South Asia for China. However one good partnership can stop this wicket fall and Change the scorecard. That partnership can only be built by India. The biggest concern is does all this million dollar investments ensure the betterment of basic living standards of poor Maldivian People? If not Why would the country accept all these investments and for whose benefit does this relation exist. Does the Roads, Bridges, apartments, resorts worth of depleting foreign reserve and heading towards bankruptcy. Well not at all. The investments has seen a tremendous raise in last one decade and it has to serve only for the interest of China. From understanding the current situation the number only seems to increase in the coming years. What is the purpose of these investments if it cant create local jobs or increase the living standard of have nots. Why does all these investments are basically airport centric? In 10 years of economic assistance first defence agreement is signed, so if it continues it can also pave way for upcoming defence agreement which will lead to a security dilemma in the region. All these investments has more than economy or profit for China. Under China`s calculation which is purely geopolitical, strategic, to keep its position leading in the great power politics help of smaller countries are inevitable so it uses its big arms economically assist the country and politically get benefited out of it. This strategy of China has to be stopped or the future consequences of International market and geopolitics will be at stake. It is clearly visible that China uses investments and grants as a tool of influence. Though its presence is politically or militarily not visible in Maldives, the State of presence of China in Maldives is seriously strong and it majorly influences the state by putting Maldives in money filled pocket which is actually suffocating Maldives.

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